

FINANCIAL HEALTH ANALYSIS

Meridian Retail Group

A five-year ratio review of liquidity, profitability, leverage, and efficiency
FY2020 – FY2024

Prepared from company financial statements | All figures in USD thousands unless noted

The business strengthened its financial position every year

Revenue grew from \$120.0M to \$196.0M (a 63% increase) while margins widened and leverage declined. Every liquidity, profitability, and coverage ratio tracked in this analysis improved between FY2020 and FY2024, and the company enters FY2025 in its strongest balance-sheet position of the period.



Ratings below reflect performance against the benchmark thresholds documented in the dashboard's Benchmarks sheet.

LIQUIDITY

Current Ratio: 3.38x · Quick Ratio: 2.22x · Cash Ratio: 1.05x

PROFITABILITY

Net Margin: 15.1% · ROA: 24.3% · ROE: 34.5%

LEVERAGE

Debt/Equity: 0.42x · Debt/Assets: 0.29x · Int. Coverage: 18.90x

EFFICIENCY

Asset Turns: 1.61x · Inv. Turns: 5.48x · AR Turns: 10.83x

How the dashboard was built

1. Source the statements

Five years of income-statement and balance-sheet line items were consolidated into a single Raw Data tab, with every hardcoded input marked in blue.

2. Calculate the ratios

Fourteen ratios across four categories are computed with two-way INDEX-MATCH formulas that pull the correct line item and year automatically — no hardcoded results.

3. Benchmark & rate

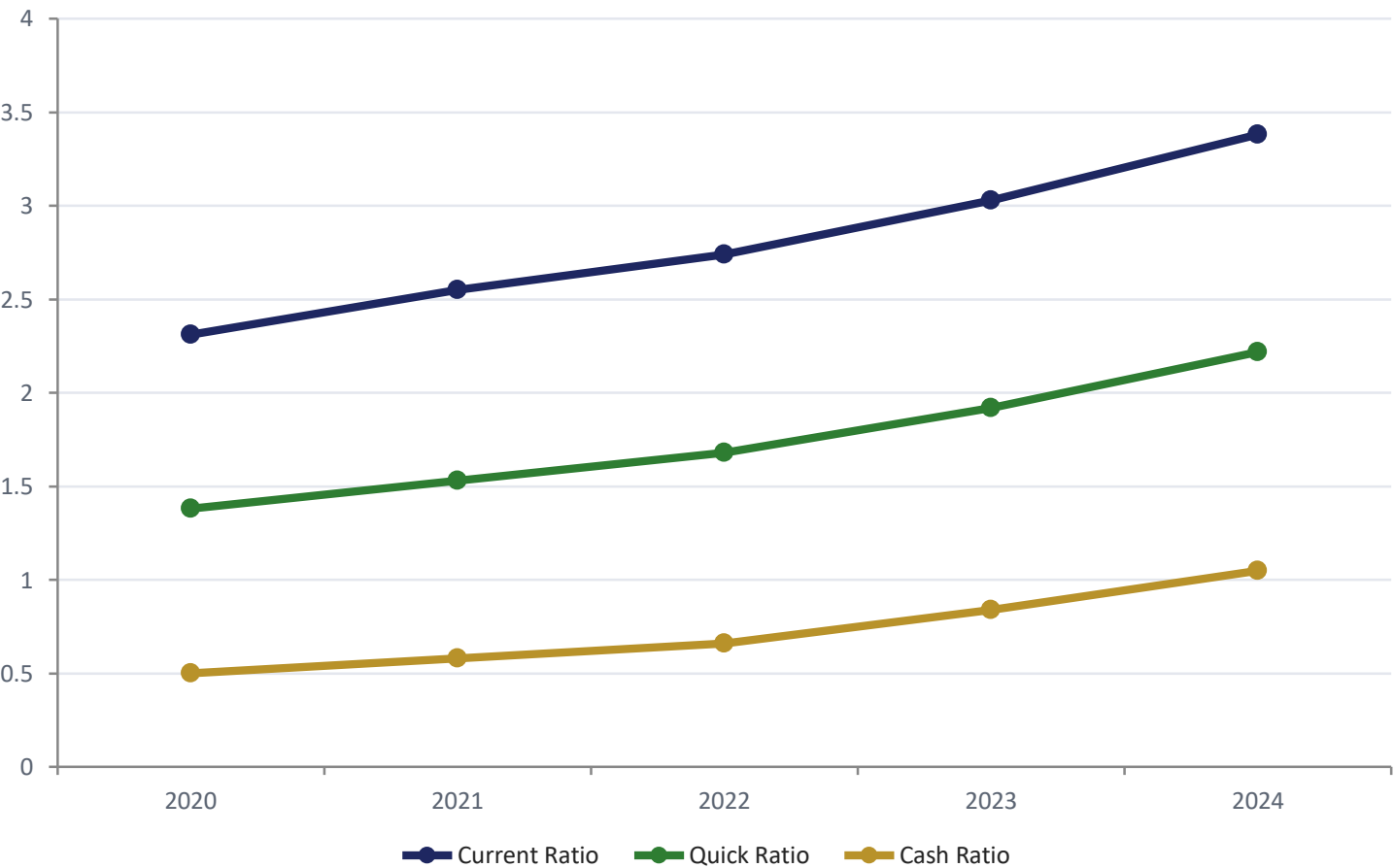
Each ratio is compared to a benchmark table with VLOOKUP, and a nested IF formula assigns a Strong / Moderate / Weak rating based on the direction that is favorable for that ratio.

4. Visualize the trend

Native Excel charts plot five-year trends by category, and the Dashboard tab summarizes the most recent year in KPI cards.

Tools used: Microsoft Excel (VLOOKUP, INDEX-MATCH, nested IF, conditional formatting, native charts) · PowerPoint for the summary deck

The company can comfortably cover short-term obligations

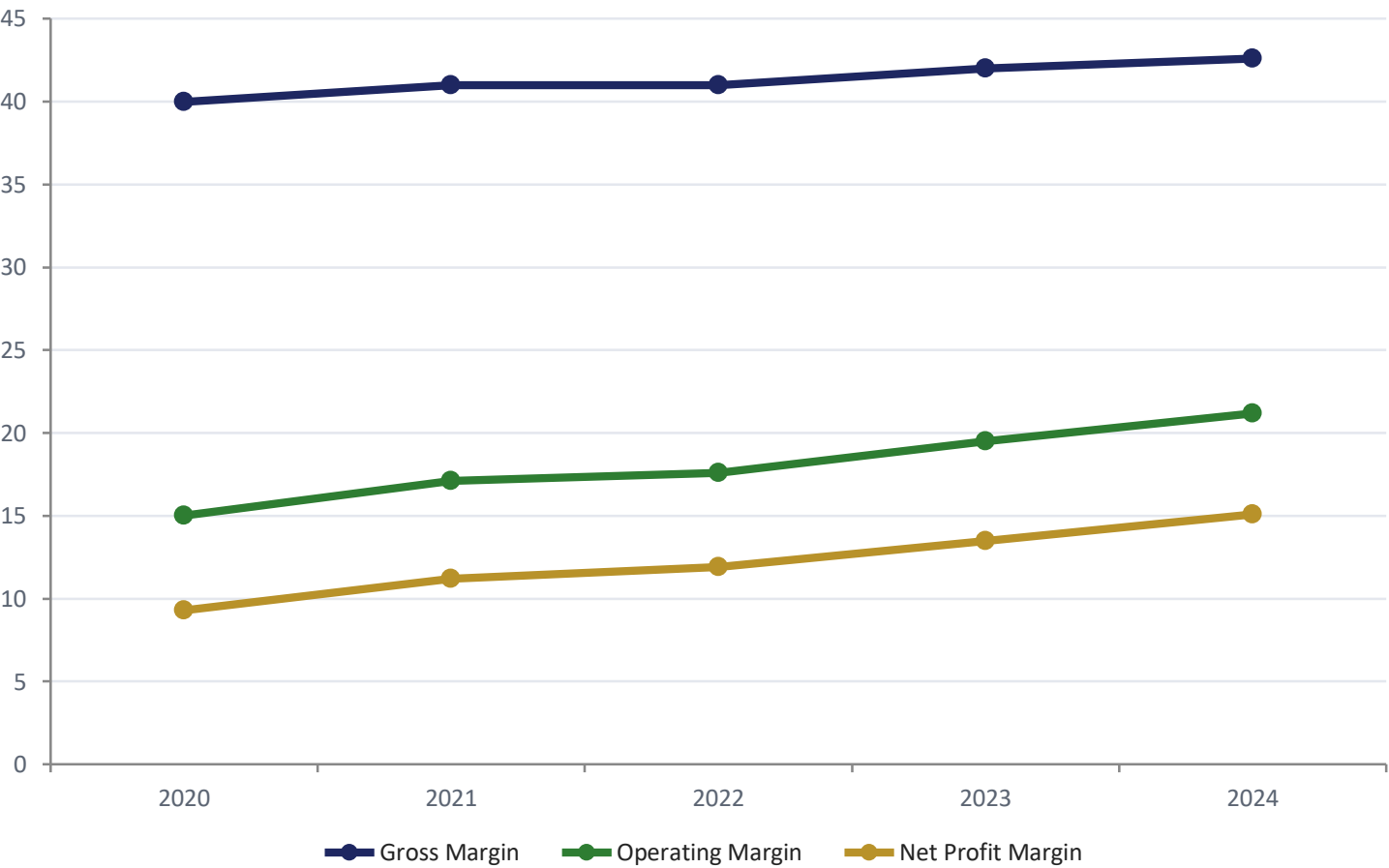


WHAT THE TREND SHOWS

The current ratio rose from 2.31x to 3.38x and the cash ratio more than doubled, from 0.50x to 1.05x. Current assets are growing faster than current liabilities every year, driven by stronger cash generation and disciplined payables management.

All three liquidity ratios rate “Strong” against benchmark in FY2024.

Margins expanded at every level of the income statement



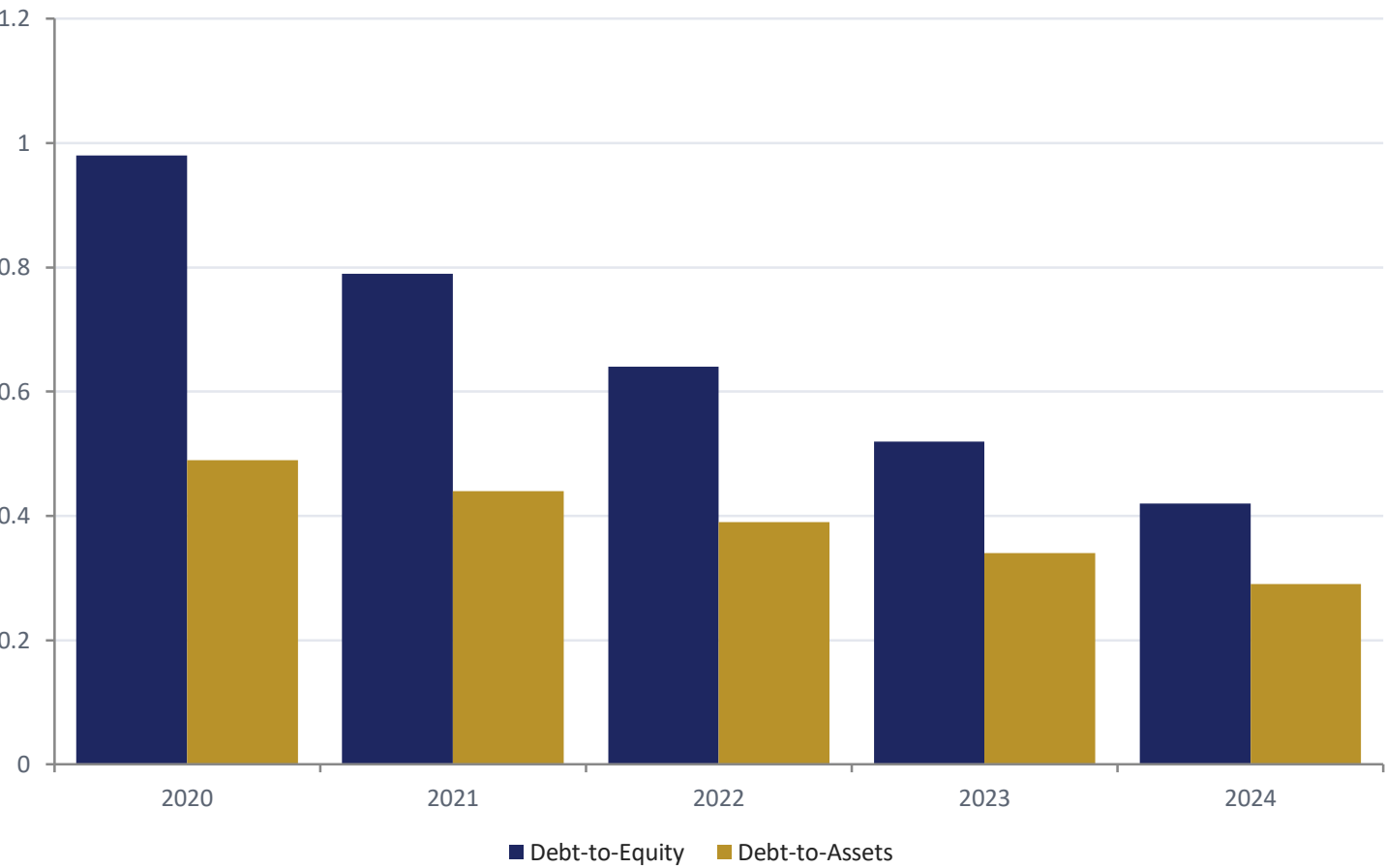
WHAT THE TREND SHOWS

Net profit margin nearly doubled, from 9.3% to 15.1%, as gross margin gained roughly 260 basis points and operating expenses grew slower than revenue. Return on equity climbed from 25.2% to 34.5%, showing that profitability gains are translating directly into shareholder returns.

All five profitability ratios rate “Strong.”

LEVERAGE

The balance sheet has de-risked steadily since FY2020

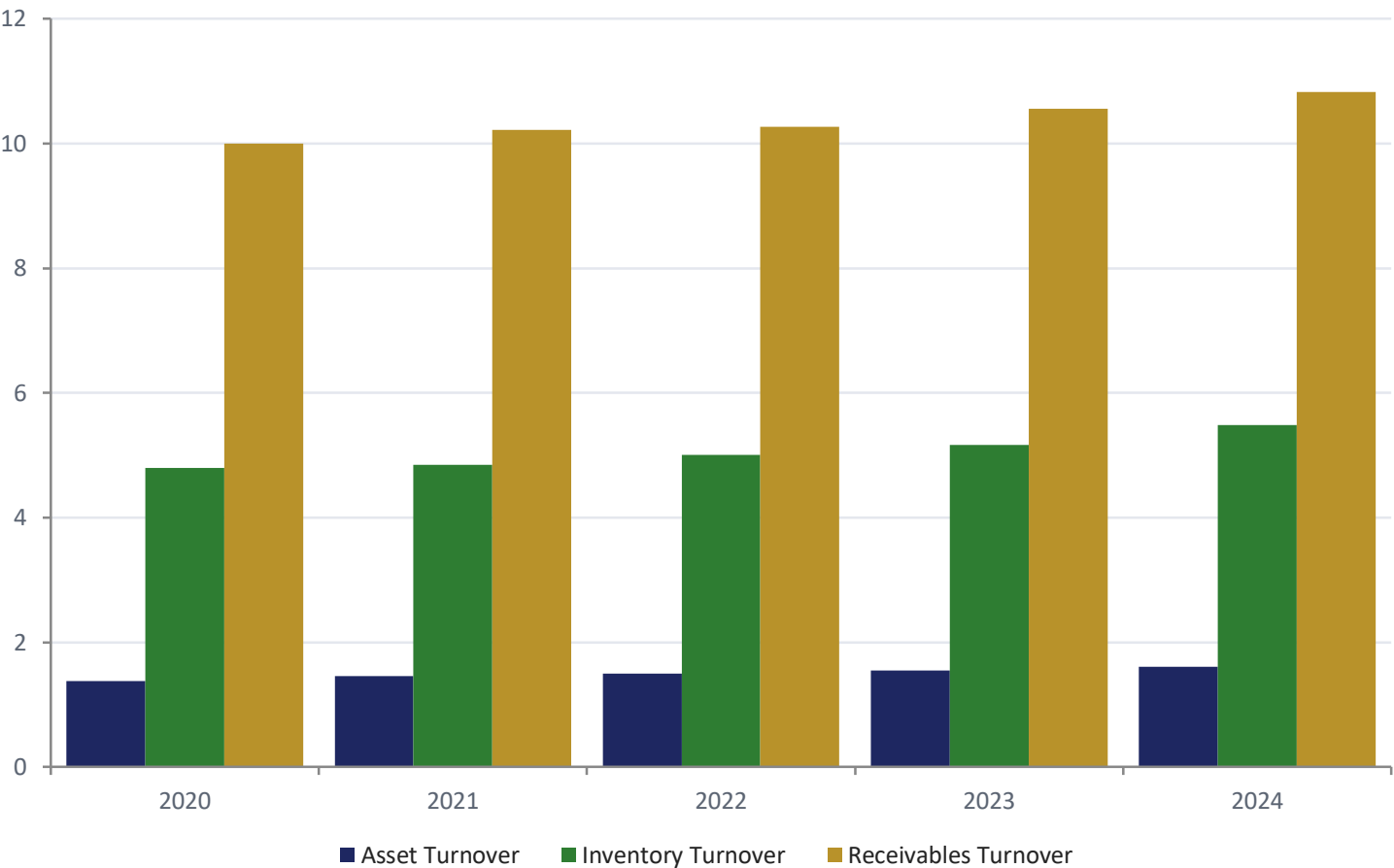


WHAT THE TREND SHOWS

Debt-to-equity fell by more than half, from 0.98x to 0.42x, as long-term debt was paid down while equity grew from retained earnings. Interest coverage more than tripled, from 5.63x to 18.90x, meaning operating income now covers interest expense with a wide margin of safety.

All three leverage ratios rate “Strong.”

Assets and working capital are being put to better use



WHAT THE TREND SHOWS

Asset turnover improved from 1.38x to 1.61x, meaning each dollar of assets now generates more revenue. Inventory turns rose from 4.80x to 5.48x and receivables turnover improved from 10.00x to 10.83x, pointing to tighter inventory management and faster collections.

All three efficiency ratios rate “Strong.”

KEY INSIGHTS

What is driving the improvement — and what to watch

STRENGTHS

Margin expansion is broad-based

Gross, operating, and net margins all improved together, indicating pricing discipline and cost control rather than a one-time item.

Deleveraging is intentional

Long-term debt fell every year while equity grew, a deliberate shift toward a more conservative capital structure.

Working capital is well managed

Rising inventory and receivables turnover show the company is converting working capital into cash faster each year.

WATCH ITEMS

Cash ratio, while improved, still trails peers

A 1.05x cash ratio is healthy but worth monitoring if growth investment accelerates and draws down the cash balance.

Growth has outpaced fixed-asset investment

PP&E grew more slowly than revenue; capacity constraints are worth confirming with operations as volume scales further.

Sustaining the ROE trend requires reinvestment discipline

ROE gains partly reflect a shrinking equity base being paid down less — continued growth will depend on reinvesting profitably.

Overall financial health: Strong and improving

Twelve of fourteen tracked ratios rate “Strong” against benchmark in FY2024, with the remaining two close behind. The five-year trend across liquidity, profitability, leverage, and efficiency points in one direction — a business converting growth into a more resilient balance sheet.

Full detail, formulas, and source data are available in the accompanying Excel dashboard.

Thank you